Analytics Terminology Ayanda Kachite

1. Definition - Business Analytics is the practice of using data, statistical methods and tools to make better business decisions. It focuses on improving performance and solving business problems.

→ Example - A retail store analyzes sales data to decide which products to stock more.

→ Source - Harvard Business Review.

2. Definition - Data analytics is the process of examining raw data to find patterns, trends, and insights. It focuses more on analyzing data itself rather than business decisions.
→ Example - Analyzing website traffic to see which pages users visit most.
→ Source - Investopedia.

3. Definition - ~~Business~~ Refers to tools and systems used to collect visualize and report data for decision-making. It mainly focuses on dashboards and reports.
→ Example - Using Power BI to track monthly sales performance
→ Source - Microsoft Bi Docs.

4. Definition - This is the practice of making decisions based on data rather than intuition or guesswork.
→ Example - A company uses customer data to decide where to open a new store.
→ Source - Mckinsey.

5. Definition - Refers to extremely large and complex datasets that cannot be processed using traditional tools.
→ Example - Netflix analyzing millions of user views to recommend shows.
→ Source - IBM

6. Definition - Descriptive analytics explains what has happened in the past using data.
→ Example - Monthly sales reports showing revenue tre
→ Investopedia.

7. Definition - Explains why something happened by identifying causes.
→ Example - Analyzing why sales dropped in a specific month.
→ Source - IBM

8. Definition - Uses historical data to forecast future outcomes
→ Example - Predicting customer demand for next month.
→ Source - SAS

9. Definition - Prescriptive analytics suggests actions to achieve desired outcomes.
→ Example - Recommending the best pricing strategy to maximize profit.
→ Source - IBM

10. Definition - Is the ability to read, understand and communicate data effectively.
→ Example - A manager interpreting a dashboard correctly.
→ Source - Qlik

2. Data, measurement and Reporting.

11. Definition - Structured data is organized data stored in rows and columns.
→ Example - A spreadsheet with customer details.
→ Source - Oracle.

12. Definition - Unstructured data is data that does not have a fixed format.
Example -
→ ~~Source~~ - Email, videos and social media posts.

→ Source - IBm

13. Definition - Is a central system used to store large amounts of structured data for analysis.
→ Example - A company storing all sales data in one database
→ Source - Amazon AWS

14. Definition - Is the process of discovering patterns in large datasets.
→ Example - finding buying patterns in customer data.
→ Source - IBm

15. Definition - Is the ~~pattern~~ presentation of data using charts and graphs.
→ Example - A bar chart showing sales growth.
→ Source - Tableau.

16. Definition - Is a visual display of key metrics in real time.
→ Example - A sales dashboard showing daily revenue.
→ Source - Microsoft.

17. Definition - Is any measurable value used to track performance
→ Example - Number of website visitors.
→ Source - HubSpot.

18. Definition - Is a specific metric that is important for achieving business goals.
→ Example - Conversion rate for an e-commerce site.
→ Source - Investopedia.

19. Definition - Is a standard used to compare performance.
→ Example - Comparing your sales to industry averages.
→ Source - Statista

20. Definition - Is dividing customers into groups based on characteristics.
→ Example - Grouping customers by age or location.
→ Source - HubSpot.

3. Customer and Sales KPIs.

21. Definition - The percentage of users who take a desired action.
→ Example - 5 out of 100 visitors buy → 5% conversion rate.
→ Source - Google Analytics.

22. Definition - The ~~total~~ cost of acquiring one customer
→ Example - Spending R1000 to gain 10 customers - CAC = R100
→ Source - ~~HubSpot~~ Investopedia

23. Definition - The total revenue a customer generates over time.
→ Example - A customer spends R500 yearly for 5 years → CLV = R2500
→ Source - HubSpot.

24. Definition - The percentage of customers who stop using a Servic
→ Example - 10 out of 100 customers leave → 10% churn
→ Source - Investopedia.

29. Definition - The percentage of customers who stay.
→ Example - 90% of customers continue using a service.

→ Source - Hubspot.

26. Definition - Measures customer loyalty based on recommendations.
→ Example - "Would you recommend us?" score.
→ Source - Bain & Company.

27. Definition - The average amount spent per order.
→ Example - R10 000 revenue / 100 orders = R100 AOV
→ Source - Shopify.

28. Definition - The stages customers go through before buying.
→ Example - Awareness → interest → Purchase
→ Source - Hubspot.

4. Marketing and Campaign analytics.

29. Definition - A planned set of marketing activities to achieve a goal.
→ Example - A social media ad campaign.
→ Source - Hubspot.

30. Definition - Evaluating campaign performance after it ends.
→ Example - Checking if ads increased sales.
→ Source - Google Analytics.

31. Definition - Extra revenue generated due to a campaign.
→ Example - Sales increase from R50k to R70k → R20k incremental reven
→ Source - Mckinsey.

32. Definition - Measures profit relative to cost.
→ Example - Spend R1000, earn R2000 → ROI = 100%.
→ Source - Investopedia.

33. Definition - Revenue earned per advertising cost.
→ Example - Spend R100 → earn R500 → ROAS = 5:1
→ Source - Google Ads.

34. Definition - Percentage of people who click an ad
→ Example - 10 clicks from 100 views → 10% CTR
→ Source - Google.

35. Definition - Percentage of visitors who leave immediately
→ Example - Users leave without clicking anything.
→ Source - Google Analytics.

36. Definition - Comparing two versions to see which performs better.
→ Example - Testing two different ads.
→ Source - Optimizely.

37. Definition - Capturing potential customer information.
→ Example - Collecting emails from a signup form.
→ Source - HubSpot.

38. Definition - Determining which channel contributed to a sale.
→ Example - Customer clicks Instagram ad, then buys → Instagram gets credits.
→ Source - Google Analytics.